

The combination of large earning power and strong financial condition justifies the expectation of an eventual increase in the dividend rate.

### NOTE 67

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The following is quoted from pages 594–595 of the 1934 edition of this work:

*“A current Example.* Fox Film Corporation, following large losses in 1931–1932, recapitalized as of April 1933 by persuading the holders of about 95% of its debt to take common stock in exchange therefor. As a result its bank loans were eliminated and its note issue, due April 1936, was reduced from \$30,000,000 to less than \$1,800,000. In December 1933 the 6% notes sold at 75, yielding over 20% to maturity. The market value of the common stock was about \$35,000,000 and the net current assets were about \$10,000,000. The quantitative signs certainly pointed to the conclusion that the note issue was amply protected, and cheap in consequence at 75.

“How dependable was this conclusion? It is certainly safe to say that either the stock was not worth anywhere near \$35,000,000 or else the \$1,800,000 note issue must be entirely safe. But a statement of this kind is less conclusive than it sounds, because ordinarily there is no way of taking advantage of a discrepancy between the relative prices of a highly speculative stock and a senior issue of investment grade.<sup>9</sup> The analyst must decide whether the issue is an attractive purchase, considered by itself. If the business is highly unstable even an enormous junior equity might disappear entirely and the note issue fail to be paid off despite its small size. In the case of Fox Film we have on the one hand a large factor in an important industry, which should argue for sufficient stability at least to assure discharge of this small obligation. On the other hand, the moving-picture business has been highly speculative and the record of Fox Film since 1930 has not been confidence-inspiring.

“Our conclusion must be, however, that the extraordinarily large quantitative backing for these notes in December 1933 reduced the risk of nonpayment to very minor proportions. Emphasizing once again the element of diversification as a safeguard in all such operations, we express the view that a number of purchases of this type will in all probability turn out quite satisfactorily in the aggregate. That some losses will occur goes without saying, but the proportion of such losses should undoubtedly be much lower in a reasonably normal period such as 1923–1927 than in cataclysmic years like 1930–1933.”

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<sup>9</sup> “In the Fox Film case, the 6% notes were still exchangeable for stock on the basis of the recapitalization plan, *i.e.*, at \$18.90 per share. If this were a contractual instead of merely a voluntary conversion privilege, the Fox notes would have been demonstrably superior at 75 to the Fox stock at 14, *from all standpoints.*”